Question #1 of 57

Question ID: 1675273

A Djiboutian (DJF) investor holds an international portfolio with beginning investments of USD 1,253,000 and EUR 2,347,800. Measured in the foreign currencies, these investments appreciate 5% and depreciate 7%, respectively.

Additional information:

Beginning Spot Exchange Rate	Beginning Forward Exchange Rate	Ending Spot Exchange Rate
DJF/USD 179.54	DJF/USD 185.67	DJF/USD 192.85
EUR/DJF 0.00416	EUR/DJF 0.00413	EUR/DJF 0.00421

The ending value of the EUR investment is *closest* to:

A) EUR 2,200,000.

B) DJF 575,000.

C) EUR 2,500,000.

Question #2 of 57

Question ID: 1675293

A currency manager expects that the volatility of the JPY/USD (Japanese yen/U.S. dollar) currency pair will increase considerably. Of the set of appropriate strategies, the cheapest would *most likely* be the:

A) long straddle.

B) carry trade.

C) long strangle.

Mario Steffan is the head of FX strategies at Optima Securities, an investment management firm based in the United States. Optima offers a wide range of investment advisory services to high-net-worth clients. Steffan's main duties include recommending and implementing appropriate strategies to manage foreign-currency exposures in client portfolios and then monitoring these exposures.

Optima witnessed a remarkable growth in assets under management over the last few years, and is now growing its departments to support further expected business growth. Jenny Bryan was recently hired as a junior FX analyst to support Steffan in managing client portfolios.

Steffan meets Bryan to discuss currency management strategies. To test her knowledge, he asks about her understanding of the carry trade strategy. Bryan makes the following statements:

Statement 1:	The carry trade strategy is implemented when the uncovered interest rate parity is expected to be violated; this parity condition asserts that in the long term, a high-yielding currency should depreciate against a low-yielding currency on average by the spread between the interest rates on the two currencies.
Statement 2:	Based on empirical data, which shows that the forward rate in FX markets does not represent the center of the distribution of future FX spot rates, the forward rate is a biased predictor of future spot rates.

Steffan informs Bryan that the Federal Open Market Committee in the United States and the European Central Bank have both scheduled meetings the following month to assess economic and financial conditions and take monetary policy actions. Steffan expects volatility in FX markets to increase, especially for the USD/EUR currency pair. He asks Bryan to recommend an appropriate, minimum-cost, delta-neutral trading strategy on the USD/EUR to benefit from the expected increase in volatility.

Later that day, Bryan reviews numerous U.S. client portfolios that include BRL/USD forward contracts to hedge the currency exposure of long BRL-denominated assets. Bryan is not sure how the monetary policies and interest rates in Brazil and the United States would affect the roll yield and, consequently, the cost of hedging and the portfolios' returns. She asks Steffan to help her understand this concept. Steffan replies, "Because the interest rate in Brazil is higher than that in the United States, the forward contracts used by the clients to hedge the BRL currency exposure will have a positive roll yield. However, all else equal, if the interest rate in Brazil had been lower when the forward contracts were entered, the cost of hedging would have decreased."

John Richmond, a U.S.-based client of Optima, has a portfolio of EUR-denominated investments allocated to equities and bonds. Steffan asks Bryan to assess the effect of the foreign-currency moves on the risk of domestic-currency returns. Bryan collects the following information in **Exhibit 1: Portfolio Allocation, Expected Standard Deviations, and Correlations**.

Exhibit 1: Portfolio Allocation, Expected Standard Deviations, and Correlations

Weight of equities in Richmond's portfolio	60%
Weight of bonds in Richmond's portfolio	40%
Expected standard deviation of equity returns (in EUR)	14.44%
Expected standard deviation of bond returns (in EUR)	4.26%
Expected standard deviation of USD/EUR returns	6.80%
Expected correlation of equity returns (in EUR) and bonds returns (in EUR)	0.30
Expected correlation of portfolio returns (in EUR) and USD/EUR returns	0.43

Question #3 - 6 of 57

Question ID: 1675304

In regard to the carry trade strategy, which of the following is *most accurate*?

A) Only Statement 1 is correct.

B) Both statements are correct.

C) Only Statement 2 is correct.

Question #4 - 6 of 57

Question ID: 1675305

Based on Steffan's view and requirements, which of the following strategies should Bryan *most likely* recommend?

A) A 25-delta short risk reversal.

B) A long straddle.

C) A long 35-delta strangle.

Question #5 - 6 of 57

Question ID: 1675306

Steffan's reply pertaining to the roll yield on BRL forward contracts is *most likely*:

A) incorrect regarding the effect of the lower interest rate in Brazil.

B) incorrect regarding the positive roll yield.

C) correct.

Question #6 - 6 of 57

Question ID: 1675307

Based on **Exhibit 1: Portfolio Allocation, Expected Standard Deviations, and Correlations**, the expected currency risk contribution to the risk of the domestic-currency returns of the portfolio is *closest* to:

A) 13.7%.

B) 9.3%.

C) 4.4%.

Question #7 of 57

Question ID: 1675292

A currency trader wants to implement a long strangle strategy on a currency pair and is considering either a 10-delta or 40-delta strategy. Relative to the 10-delta strangle, the 40-delta strangle would:

A) be cheaper.

B) have the same intrinsic value.

C) have a more moderate payoff structure.

Question #8 of 57

Question ID: 1675329

Which of the following statements regarding hedging of emerging-market currencies is *least accurate*?

A) Hedging costs for managers who buy emerging-market currencies are increased by the relatively high interest rates in emerging markets.

B) Hedging cost varies with normally large bid/ask spreads followed by infrequent periods of even higher spreads.

C) Tail risk and contagion both refer to relatively infrequent events that increase the difficulty of hedging emerging-market currencies.

Global Prime is a U.K.-based wealth management company that provides advisory services for institutional and high-net-worth individual investors. Robin Grasizi, a junior currency strategist, is responsible for assisting portfolio managers to manage currency exposures in line with the clients' investment policy statements (IPSs).

Grasizi is reviewing the portfolio of KJ Endowment, a large U.S. endowment fund that uses the USD as its reporting currency. The fund has long exposures to emerging market equities and fixed income. While analyzing the fund's currency exposures and hedging strategies, Grasizi took the following notes to discuss them with his manager:

Note 1:	Because emerging market currencies are typically high-yielding currencies, they are high risk, and hedging emerging market currency exposures using forward contracts will create a negative roll yield.
Note 2:	Because emerging market currency futures may not be liquid, forward contracts are typically used to hedge exposures to these currencies, resulting in higher management costs due to the necessary ongoing monitoring of margin requirements.

Grasizi turns his attention to KJ Endowment's U.K. assets. On January 2, 2X21, the fund had GBP 50 million invested in U.K. equities and bonds. At that time, Grasizi was asked to fully hedge the fund's GBP exposure for the next six months using a GBP 50 million forward contract on the USD/GBP. Three months later, the market value of U.K. equities has increased by GBP 3.5 million, and the market value of U.K. bonds has decreased by GBP 0.8 million. Grasizi is then asked by his manager to rebalance the currency hedge. Current USD/GBP spot and forward rates are shown in **Exhibit 1: USD/GBP Current Spot and Forward Rates**.

Exhibit 1: USD/GBP Current Spot and Forward Rates

Spot rate	1.3984/1.3993

3-month forward points +4/+8

6-month forward points +8/+14

Grasizi is also reviewing the case of the University of Hubber Endowment, another U.S. university endowment recently on boarded, to devise an appropriate currency management strategy. After several meetings with the endowment's investment committee, Grasizi collects the following key information:

- Because the endowment's main objective is to support the university's operating budget, while preserving intergenerational equity, the endowment's investment horizon is a perpetuity.
- Historically, the endowment has received large donations—especially from alumni. The investment committee expects such donations to continue in the future and has concluded that the endowment's liquidity needs are low.
- The endowment invests in both U.S. and international assets.
- Given its long-term investment objectives and low liquidity needs, the endowment has a large allocation to equities and a small allocation to fixed income.
- The endowment's investment committee is confident about Global Prime's ability to exploit inefficiencies in the foreign exchange market to enhance portfolio returns.

Later that day, Grasizi receives a call from Dimitri Soratis, a high-net-worth European client who has long positions in U.S. equities. Given the accommodative U.S. monetary policy, Soratis expects the USD to depreciate against the EUR. He asks Grasizi to recommend an appropriate strategy to hedge his portfolio against unfavorable moves of the USD. Soratis notes that he wants to reduce hedging costs and maintain the upside potential in case the USD appreciates.

Question #9 - 12 of 57

Question ID: 1675318

In regard to emerging market currencies, which of the following is *most accurate*?

A) Both notes are correct.

B) Only Note 1 is correct.

C) Only Note 2 is correct.

Question #10 - 12 of 57

Question ID: 1675319

Based on the information pertaining to KJ Endowment's U.K. assets and **Exhibit 1: USD/GBP Current Spot and Forward Rates**, to rebalance the USD/GBP hedge, Grasizi should *most likely*:

A) sell GBP forward at 1.3992.

B) sell GBP forward at 1.3988.

C) buy GBP forward at 1.4001.

Question #11 - 12 of 57

Question ID: 1675320

Based on the information collected about the University of Hubber Endowment, Grasizi should *most likely* recommend:

A) managing currency exposures with narrow tolerance bands.

B) a passive hedging strategy.

C) an active currency management strategy.

Question #12 - 12 of 57

Question ID: 1675321

Given Soratis's objectives, which of the following is the *most appropriate* strategy for hedging the portfolio's USD exposure using options on USD/EUR?

A) Buy a 50-delta call and sell a 20-delta call.

B) Buy a knock-in call.

C) Buy a 20-delta put.

Question #13 of 57

Question ID: 1675274

A European investor holds a diversified portfolio. From the euro perspective, the portfolio is weighted 60% and 40% in U.S. and U.K. investments.

Additional information:

Assets:	Returns measured in foreign currency:	Returns measured from investor's perspective:	Standard deviation of asset's returns measured in foreign currency:	Stand deviation of the foreign currency's returns:
U.S.	5%	6%	4.5%	3.7%
U.K.	7%	8%	3.5%	4.7%

The correlation between the foreign-currency asset's returns and returns on the foreign currency are 0.81 and 0.67, respectively, for the U.S. and U.K. assets. Which of the following is the standard deviation of returns for the investor in the U.K. assets?

A) 7.5%.

B) 7.8%.

C) 60.9%.

Question #14 of 57

Question ID: 1675296

A trader has a EUR 5,000,000 short asset exposure and wishes to hedge it using a six-month long forward contract. Relative to choosing a one-month long forward contract that is rolled over each month, the six-month forward contract would *most likely*:

A) indicate lower risk aversion.

B) be a perfect hedge of the initial notional value.

C) have some realized gains or losses before forward maturity.

Question #15 of 57

Question ID: 1675327

A Canadian manager has a large portfolio with exposures to numerous foreign currencies, including the U.S. dollar (USD), the euro (EUR), the British pound (GBP), the Swiss franc (CHF), and some emerging-market currencies. When hedging the portfolio's foreign currency risk, which of following hedges would the manager *most likely* use?

A) Macro hedge.

B) Direct hedge.

C) Cross hedge.

Question #16 of 57

Question ID: 1675291

Which scenario would *most likely* lead a portfolio manager to buy a foreign currency in the forward market?

A) An active currency manager who is underweighted in assets denominated in that currency.

B) A portfolio that is overweighted in assets denominated in that currency.

C) An active manager implementing a carry trade when the currency is being bought as the higher relative yield.

Question #17 of 57

Question ID: 1675297

A Swiss-based investor (home currency is CHF) has a short exposure to the pound (GBP). The one-year CHF interest rate is 1.5% and the GBP interest rate is 2.5%. Using a one-year forward contract, the investor will *most likely*:

A) have a positive roll yield because the GBP is trading at a forward discount.

B) have a negative roll yield because the GBP is trading at a forward discount.

C) have a positive roll yield because the GBP is trading at a forward premium.

Question #18 of 57

Question ID: 1675288

Currency trading based on economic fundamentals would be *most likely* to sell a currency forward if the country issuing the currency is experiencing:

A) increasing real rates of return.

B) declining levels of relative risk in the economy.

C) rising relative inflation.

Question #19 of 57

Question ID: 1675309

Cristina has a long exposure to the Brazilian real (BRL) and wants to use options to hedge against a modest depreciation of the BRL. She is primarily concerned with keeping upside potential as well as minimizing the cost of buying options. Which of the following derivative positions will *best* achieve Cristina's objectives?

A) Collar.

B) Put spread.

C) Seagull spread.

Question #20 of 57

Question ID: 1675285

Which of the following portfolios would *most likely* follow a passive currency hedging strategy?

A) One with more confidence in the portfolio manager and high income needs.

B) One very concerned with minimizing regret and higher allocation to equity investments.

C) One with a shorter time horizon and higher liquidity needs.

Question #21 of 57

Question ID: 1675331

Which of the following statements regarding nondeliverable forwards (NDFs) is correct?

A) The pricing of NDFs reflects supply and demand conditions.

B) The controlled currency is usually a major currency.

C) NDFs usually have higher credit risk than regular forward contracts.

Jordan Norvell manages a globally diversified portfolio for Roberto Partners. She is also responsible for managing the currency risk of those investments and implementing the firm's currency trading strategies. Roberto Partners uses both discretionary hedging and active currency management, depending on the particular portfolio's strategic risk and return objectives, the efficiency of the particular currency market, and the currency's prospects.

The active currency trading strategies of Roberto Partners are based on economic fundamentals, technical analysis, carry trade, and volatility trading. Norvell is analyzing the performance of two of the firm's strategies and determining whether changes should be made to each strategy.

The first strategy has been charged with using technical analysis in the currency markets. The portfolio manager, Winston Verse, has taken long positions in three countries' currencies for the following reasons:

1. *Quincy.* Due to increased inflationary pressures, the central bank has been restricting the growth of the money supply. As a result, real and nominal interest rates are higher than in other countries of similar risk.
2. *Panacea.* The country's currency has positive momentum, rising against most developed and emerging economy currencies. The currency's 50-day moving average has risen above its 200-day moving average.
3. *Madison.* The country has been endowed with many natural resources and is one of the world's largest exporters, as a percentage of GDP. Its supply chains are healthy—and, together with a central bank of strong reputation, the country has one of the lowest inflation rates in the world.

A second strategy is the carry trade strategy of Roberto Partners, managed by Karene Plant. In conversations with Norvell, Plant makes the following statements about the carry trade:

Statement 1:	Losses will accrue to the trade if emerging markets experience financial stress.
Statement 2:	The trade exploits forward rate bias by buying the currency trading at a forward premium at the initiation of the trade.
Statement 3:	If uncovered interest rate parity held, then the carry trade will profit because high interest rate currencies will appreciate by an amount equal to interest rate differentials.

Norvell routinely evaluates the success of the firm's hedging, especially in emerging markets. At the beginning of the year, Norvell hedged the currency risk of an investment in India in the amount of USD 1,000,000 over the next six months. Because traditional forward contracts are not readily available for the Indian rupee (INR), Norvell used a nondeliverable forward contract (NDF). In January, the INR/USD spot rate was 83.50, and the NDF was priced at 84.80. Six months later, in July, the INR/USD spot rate was 86.10. Norvell uses the data to calculate the cash flow from the settlement of the INR NDF.

Question #22 - 25 of 57

Question ID: 1675333

Compared to discretionary hedging, active currency management *most likely*:

A) focuses on reducing portfolio risk.

B) allows the manager less discretion in deviating from the benchmark.

C) focuses on increasing portfolio return.

Question #23 - 25 of 57

Question ID: 1675334

Considering his portfolio's mission, Verse's strategy is *most appropriate* in the country of:

A) Panacea.

B) Madison.

C) Quincy.

Question #24 - 25 of 57

Question ID: 1675335

Which of the following statements by Plant is *most accurate*?

A) Statement 3.

B) Statement 2.

C) Statement 1.

Question #25 - 25 of 57

Question ID: 1675336

The July cash flow from the settlement of the INR/NDF is *closest* to:

A) INR 1,300,000.

B) USD 15,099.

C) USD 30,197.

Marie Aubert is a senior portfolio counselor at GP Group S.A., a private bank based in Paris and with branches in 23 countries. GP Group provides investment management services for individual and institutional investors.

Aubert is reviewing the portfolio of Roni Dubois, a high-net-worth French client who holds foreign investments in the United States and the United Kingdom. The weights of the U.S. and U.K. investments in his portfolio are 35% and 65%, respectively. Having read GP Group's recently published forecasts on different asset classes and currencies, Dubois asks Aubert to project his end-of-year portfolio performance. Aubert gathers the required information (**Exhibit 1: Investment Return Forecasts and Current and Forecasted Spot Rates**) to compute the forecasted return.

Exhibit 1: Investment Return Forecasts and Current and Forecasted Spot Rates

	Current Year Forecasted Returns
U.S. investments in Dubois's portfolio	16%
U.K. investments in Dubois's portfolio	14%

	Current Year	End-of-Year Forecasted Rate
USD/EUR spot rate	1.1171	1.2180
EUR/GBP spot rate	1.1769	1.1221

Dubois is concerned that the returns on the foreign currencies may negatively affect his portfolio's performance. Because of this concern, Aubert recommends that Dubois hedge the current value of his foreign assets using 1-year forward contracts.

Dubois, however, is considering using currency options instead of forward contracts. He asks Aubert to devise a strategy using EUR/GBP currency options to hedge the GBP exposure. Dubois wishes to be protected if the GBP ends up trading between 1.1550 and 1.1650 when the options mature. Moreover, Dubois wishes to reap some of the benefits of the GBP's upside potential. However, to decrease the cost of the strategy, Dubois states that he is willing to forgo any additional benefit if the GBP rises above 1.1950.

Before making his final decision, Dubois asks Aubert to list the advantages and disadvantages of hedging currency exposures using forwards and options. Aubert makes the following statements:

Statement 1:	When hedging currency exposures using forwards, one implicit cost is the loss of upside potential if there is a favorable move in the foreign currency. Moreover, hedging using forwards may generate a negative roll yield.
Statement 2:	Using currency options to hedge may protect against downside risk while retaining the upside potential; however, this protection may be expensive and faces the risk of time decay.

Question #26 - 29 of 57

Question ID: 1675323

Based on Exhibit 1 and the weights of U.S. and U.K. investments in Dubois's portfolio, the forecasted portfolio domestic-currency return (measured in EUR) is *closest* to:

A) 14.70%.

B) 7.89%.

C) 14.92%.

Question #27 - 29 of 57

Question ID: 1675324

Based on Exhibit 1, and assuming that GP Group's forecasts are accurate and that Dubois uses 1-year forward contracts to hedge the current value of his foreign assets, to rebalance the hedge at the end of the year, Dubois should *most likely*:

A) sell both the USD and GBP forward.

B) buy both the USD and GBP forward.

C) buy the USD forward and sell the GBP forward.

Question #28 - 29 of 57

Question ID: 1675325

Based on Exhibit 1 and Dubois's requirements pertaining to hedging the GBP exposure using EUR/GBP currency options, which of the following is the *most suitable* strategy?

A) Buy a 50-delta put, write a 25-delta put, and write a 25-delta call.

B) Buy a 35-delta call, write a 25-delta call, and write a 25-delta put.

C) Buy a 35-delta put, write a 25-delta put, and write a 25-delta call.

Question #29 - 29 of 57

Question ID: 1675326

In regard to hedging currency exposures using forwards and options, which of the following is *most accurate*?

A) Both statements are correct.

B) Only Statement 2 is correct.

C) Only Statement 1 is correct.

Ravi Kumar is a currency strategist at Advance Markets Ltd., an investment firm that offers a wide range of investment services. Kumar's primary role is to provide forecasts on the foreign exchange market and to manage foreign exchange exposures of the clients' portfolios in line with the clients' objectives.

Kumar is examining the yields and volatilities of various currency pairs, shown in **Exhibit 1: One-Year Yields** and **Exhibit 2: One-Year Implied Volatilities**, to recommend active currency management strategies for a number of the firm's clients.

Exhibit 1: One-Year Yields

Eurozone	0.49%
Switzerland	–0.59%
United States	0.27%

Exhibit 2: One-Year Implied Volatilities

CHF/EUR	4.90%
CHF/USD	6.66%
USD/EUR	6.58%

Advance Markets has a mandate to run a currency overlay program for a U.S. hedge fund that uses the USD as its reporting currency. The mandate includes managing the fund's exposure to the volatility of various currencies by taking speculative positions or hedging the portfolio's exposures. While discussing volatility-based trading strategies with his colleague, Kumar states, "To profit from the expected stability of the foreign exchange market, speculative option positions can be taken to short volatility. If an increase in the volatility of the foreign exchange rate is expected, the volatility exposure should be hedged by going long volatility. However, implementing these speculative and hedging strategies is expensive because the fund must pay the options premiums."

Kumar turns his attention to the portfolio of Eric Graham, a U.S. high-net-worth client. Graham's portfolio has long exposures to European assets (denominated in EUR) and South African assets (denominated in ZAR). Kumar wants to examine whether to recommend hedging these currency exposures using forward contracts. The exchange rate information is shown in **Exhibit 3: Selected Spot and Forward Rates**.

Exhibit 3: Selected Spot and Forward Rates

	Current Spot Rate	3-Month Forward Rate	Expected Spot Rate in 3 Months
USD/EUR	1.2123	1.2173	1.2370
ZAR/USD	14.1055	14.4726	14.6889

On April 1, 2X20, Graham had BRL 15 million invested in Brazilian assets. The initial currency exposure was fully hedged using a 3-month BRL/USD forward contract, which is currently due for settlement. The current value of the assets is BRL 15.39 million. Graham asks Kumar to compare the hedged and the unhedged returns of the Brazilian assets for the last three months to assess whether the hedge enhanced the Brazilian assets' return. **Exhibit 4: BRL/USD Spot and Forward Rates** contains BRL/USD foreign exchange data.

Exhibit 4: BRL/USD Spot and Forward Rates

Date	Spot Rate	3-Month Forward Rate
April 1, 2X20	5.4317	5.4717
Current	5.2728	5.3008

Question #30 - 33 of 57

Question ID: 1675299

Based on **Exhibit 1: One-Year Yields** and **Exhibit 2: One-Year Implied Volatilities**, the *most appropriate* carry trade strategy involves borrowing in:

A) EUR and investing in CHF.

B) CHF and investing in EUR.

C) USD and investing in EUR.

Question #31 - 33 of 57

Question ID: 1675300

Kumar's statement pertaining to volatility-based trading strategies is *most likely* incorrect with regard to:

A) the payment of options premiums.

B) long volatility.

C) short volatility.

Question #32 - 33 of 57

Question ID: 1675301

Based on **Exhibit 3: Selected Spot and Forward Rates**, and assuming Graham is a risk-neutral investor, Kumar should *most likely* recommend hedging:

A) the ZAR exposure, but not hedging the EUR exposure.

B) both the EUR and the ZAR exposures.

C) the EUR exposure, but not hedging the ZAR exposure.

Question #33 - 33 of 57

Question ID: 1675302

Based on **Exhibit 4: BRL/USD Spot and Forward Rates** and the information on Graham's Brazilian assets, the difference between the hedged return and the unhedged return on the Brazilian assets is *closest* to:

A) –3.54%.

B) –3.20%.

C) –3.74%.

Question #34 of 57

Question ID: 1675289

The one-year interest rate is 3% in Country A and 6% in Country B. Assuming covered interest rate parity holds:

A) Country A's currency will trade at a forward discount.

B) the percentage appreciation in Country A's currency will be greater than the percentage depreciation in Country B's currency.

C) the carry trade will result in a positive return.

Question #35 of 57

Question ID: 1675330

Which of the following statements regarding managing emerging-market currency exposures is correct?

A) Transaction costs for emerging-market currencies are generally similar when comparing exiting trades versus entering trades.

B) On the assumption on increasing yields for emerging-market currencies, it will lead to negative roll yield for investors who are selling such currencies forward.

C) Value at risk is an appropriate measure of risk for emerging-market currencies.

Question #36 of 57

Question ID: 1675308

Jane Simms manages a German portfolio denominated in the EUR and decides to use an option collar to reduce her downside risk exposure to the Mexican peso (MXP) while retaining some potential upside. Which of the following strategies will accomplish her objective?

A) Buy an OTM put on the MXP and sell an in-the-money call on the MXP.

B) Buy an OTM put on the MXP and sell an OTM put on the MXP with a lower strike price.

C) Buy an OTM call on the EUR and sell an OTM put on the EUR.

Question #37 of 57

Question ID: 1675286

A U.S. investor has some of her wealth invested in a 300,000 euro portfolio managed by a European fund manager. The investor wants to terminate her euro portfolio in nine months but is worried about currency fluctuation; therefore, she wants to hedge the full 300,000 euro value today. The investor should:

A) buy euros and buy U.S. dollars under a 9-month forward contract, which is a perfect hedge because it covers the full portfolio value.

B) sell U.S. dollars and buy euros under a 9-month forward contract, which is an imperfect hedge because it doesn't hedge potential gains or losses in the portfolio.

C) sell euros and buy U.S. dollars under a 9-month forward contract, which is an imperfect hedge because it doesn't hedge potential gains or losses in the portfolio.

Question #38 of 57

Question ID: 1675310

A call option with a strike price of $60 will be available as soon as the stock price of DAG, Inc. (DAG), reaches $55. Which of the following items *best* describes the option on DAG?

A) Knock-in option.

B) Binary option.

C) Knock-out option.

Question #39 of 57

Question ID: 1675295

The cost to hedge a long position in the EUR is reduced by:

A) forward euro exchange rates that are below the spot exchange rates.

B) lower relative interest rates in the euro zone.

C) negative roll yield.

Question #40 of 57

Question ID: 1675328

Luis Gomez manages a Canadian-based investment fund in CAD, which has some U.S.-based investments. Assuming there is a negative correlation between the CAD and corporate profits of the U.S. companies in which it invests, what is the appropriate minimum variance hedge ratio required to reduce the volatility of the returns in CAD?

A) Greater than one.

B) Less than one.

C) One.

Question #41 of 57

Question ID: 1675290

A currency manager is looking to implement currency volatility trades. Which of the following statements about the manager's volatility trades is *most accurate*?

A) If cost is a key concern, the manager should implement a long strangle rather than a long straddle.

B) If the manager expects a significant rise in volatility, a short straddle will be an appropriate strategy.

C) Neither the long straddle nor the short straddle is a delta-neutral strategy.

Question #42 of 57

Question ID: 1675294

A U.S.-based investor has purchased a 15,000,000 peso office building in Mexico. He has hedged his investment by selling forward futures at $0.1098/peso. Two months later, the futures exchange rate has fallen to $0.0921/peso. The investor's net change in the futures position is:

A) ($265,500).

B) $1,647,000.

C) $265,500.

Question #43 of 57

Question ID: 1675284

A French toy manufacturer whose home currency is the euro (EUR) expects to collect payment on a 2 million U.S. dollar (USD) receivable in six months from a U.S. client. The current exchange rate is 0.90 EUR/USD. The market expects the exchange rate to increase to 1.10 EUR/USD, but the manufacturer is worried about any potential currency volatility. Which of the following derivatives contracts would *best* achieve the manufacturer's objectives?

A) Buy a 6-month put option to sell USD 2 million at 1.10 EUR/USD.

B) Buy a 6-month call option to buy USD 2 million at 1.10 EUR/USD.

C) The manufacturer should not hedge because the expected currency movement is favorable to the manufacturer.

Question #44 of 57

Question ID: 1675287

A Mexican investor with a U.S. dollar portfolio invested in U.S. bonds has a four-month investment time horizon. The investor is concerned about currency volatility. He is contemplating an appropriate and cost-effective currency management strategy and has noted that he is not overly concerned if he misses out on potential currency gains. The investor should:

A) engage a currency manager to actively manage his U.S. dollar portfolio.

B) leave the U.S. dollar portfolio unhedged.

C) fully hedge his U.S. dollar portfolio against currency risk.

Question #45 of 57

Question ID: 1675282

A U.S. investor who holds a £2 million investment wishes to hedge the portfolio against currency risk. The investor should:

A) buy £2 million worth of futures for U.S. dollars.

B) sell $2 million worth of futures for British pounds.

C) sell £2 million worth of futures for U.S. dollars.

Question #46 of 57

Question ID: 1675283

Which of the following comments is *most accurate*?

A) Currency volatility becomes a more significant issue in global portfolios over a longer time horizon as returns compound.

B) A cost/benefit analysis of whether to hedge currency should include all of the following: bid/asked transaction costs, option premiums, and back office and compliance expenses.

C) Discretionary currency hedging allows wider deviations from the strategic hedging than active currency management.

Jane Archer manages a Swiss-based (CHF) hedge fund. A portion of the fund is currently allocated 60% and 40%, respectively, to EUR and ASD risk-free investments, pending other investment opportunities. She has collected the following information:

Estimates	Euro Zone	Australia
Asset return in foreign currency	2.0%	2.5%
Change in spot exchange rate versus the CHF	−1.0%	3.0%
Asset risk measured in foreign currency (σ)	0.0%	0.0%
Currency risk (σ)	7.0%	9.0%
Correlation of currency returns (CHF/EUR, CHF/ASD)	+0.70	

The following questions are from the portfolio perspective, measured in CHF.

Question #47 - 52 of 57

Question ID: 1675276

The expected return of the risk-free portion of the portfolio is *closest* to:

A) 2.82%.

B) 3.74%.

C) 6.56%.

Question #48 - 52 of 57

Question ID: 1675277

The standard deviation of the risk-free portion of the portfolio is *closest* to:

A) 7.98%.

B) 7.36%.

C) 54.13%.

Question #49 - 52 of 57

Question ID: 1675278

What is the expected return of the risk-free portion of the portfolio if Archer takes a leveraged position with a 150% positive weight in Australia and a 150% negative weight in the euro zone?

A) 9.72%.

B) 6.75%.

C) 6.90%.

Question #50 - 52 of 57

Question ID: 1675279

What is the expected standard deviation of returns of the risk-free portion of the portfolio if Archer takes a leveraged position with a 150% positive weight in Australia and a 150% negative weight in the euro zone?

A) 98.80%.

B) 3.00%.

C) 9.94%.

Question #51 - 52 of 57

Question ID: 1675280

If Archer takes a short position in a forward contract in the euro, and assuming the forward exchange rate for the CHF versus the euro is downward sloping, which of the following is *most accurate*?

A) She will earn a negative roll return, increasing hedging costs.

B) She will earn a negative return by shorting the currency.

C) Her position will result in a loss if the euro depreciates more than predicted by interest rate parity.

Question #52 - 52 of 57

Question ID: 1675281

Assuming the correlation between the ASD currency and underlying asset is highly positive, which hedge ratio is *most appropriate* for hedging the ASD?

A) A hedge ratio <1.

B) A hedge ratio >1.

C) Cannot be determined with the information given.

Question #53 of 57

Question ID: 1675311

Mia Gill is a U.S.-based investor and would like to hedge her long position to the Canadian dollar (CAD) using options. Her objective is to minimize the initial option cost by giving up some upside potential, but she does not want to lose any downside protection. Which of the following option strategies is Gill *most likely* to select?

A) Seagull spread.

B) Put spread.

C) Collar.

Maria Romera is a senior portfolio manager at Cutting Edge Asset Management (CEAM), a U.S.-based firm that manages numerous funds and provides investment management services to institutional and high-net-worth individual investors.

Romera meets Ronald Graham, a U.S. client who holds an economics degree. Based on his views on Brexit, Graham asks to invest his portfolio strictly in long European equities (excluding any U.K. equities) denominated in EUR and to short U.K. equities, and he gives CEAM discretion to select individual stocks. During the meeting, Romera reports to Graham the domestic-currency return (measured in USD) of his portfolio for 2X20. A summary of Graham's portfolio and relevant exchange rates are shown in **Exhibit 1: Performance Summary of Graham's Portfolio and Selected Spot Exchange Rates**.

Exhibit 1: Performance Summary of Graham's Portfolio and Selected Spot Exchange Rates

	December 31, 2X19	December 31, 2X20
Long position in European (excluding U.K.) equities	EUR 1,510,841	EUR 1,637,005
Short position in U.K. equities	GBP 131,965	GBP 111,331
USD/EUR spot rate	1.1202	1.2300
USD/GBP spot rate	1.3113	1.3613

Graham mentions that he is concerned about his portfolio's foreign-currency exposure going forward. Graham does not expect extreme exchange rate moves, and he mentions to Romera that he is prepared to face some downside risk; however, he wishes to protect his portfolio against moderate unfavorable exchange rates moves while maintaining the upside potential of favorable exchange rates moves. Graham asks Romera to devise an appropriate strategy at minimal initial cost.

Later that day, Romera meets David Clutch, one of the analysts working on her team, to review the portfolio of a German pension fund that reports its results in EUR. CEAM is

responsible for managing the fund's U.S. equities portfolio. The fund's investment policy statement (IPS) states that CEAM is allowed to take only long positions in U.S. equities. Moreover, the IPS states that foreign-currency exposures should be hedged, and that the hedged positions should be actively monitored so that they do not exceed 105% or fall below 95% of the portfolio's currency exposure.

While discussing the foreign-currency exposure of the pension fund's portfolio with Romera, Clutch states, "Hedging the portfolio's foreign-currency exposure requires selling the USD forward. Because the USD/EUR is trading at a forward premium, hedging the foreign-currency exposure using forward contracts will generate a positive roll yield."

Question #54 - 57 of 57

Question ID: 1675313

Based on **Exhibit 1: Performance Summary of Graham's Portfolio and Selected Spot Exchange Rates**, the domestic-currency return (measured in USD) of Graham's portfolio in 2X20 is *closest* to:

A) 22.55%.

B) 21.53%.

C) 16.06%.

Question #55 - 57 of 57

Question ID: 1675314

Given Graham's objectives and expectations, and using USD/GBP options, which of the following is the *most appropriate* strategy for hedging his portfolio's exposure to the GBP?

A) Only long a 25-delta call and short a 15-delta call.

B) Long a 25-delta call, short a 15-delta call, and short a 25-delta put.

C) Long a 25-delta put and short a 15-delta put.

Question #56 - 57 of 57

Question ID: 1675315

Based on the pension fund's IPS, which of the following is the *most appropriate* currency management strategy?

A) Currency overlay.

B) Active currency management.

C) Discretionary hedging.

Question #57 - 57 of 57

Question ID: 1675316

Clutch's statement pertaining to hedging the foreign-currency exposure of the pension fund's portfolio is *most likely*:

A) incorrect with regard to selling the USD forward.

B) incorrect with regard to generating a positive roll yield.

C) correct.